

Shriram Finance Ltd

SHRIRAMFIN · Financials

ROE

15.1%

ROCE

4.1%

Net Profit Margin

20.3%

Debt-to-Equity

3.99

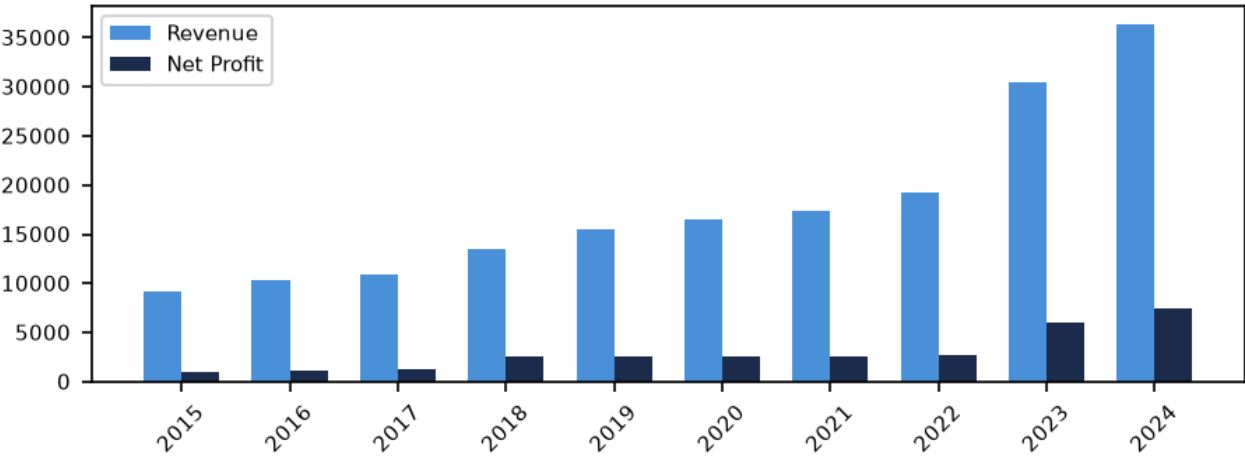
Revenue CAGR (5yr)

18.6%

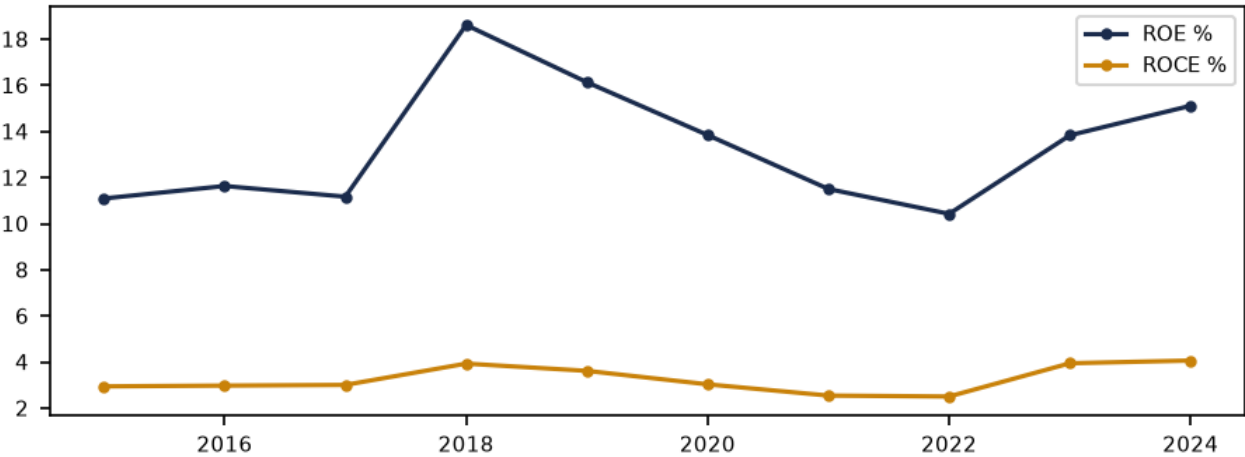
Free Cash Flow

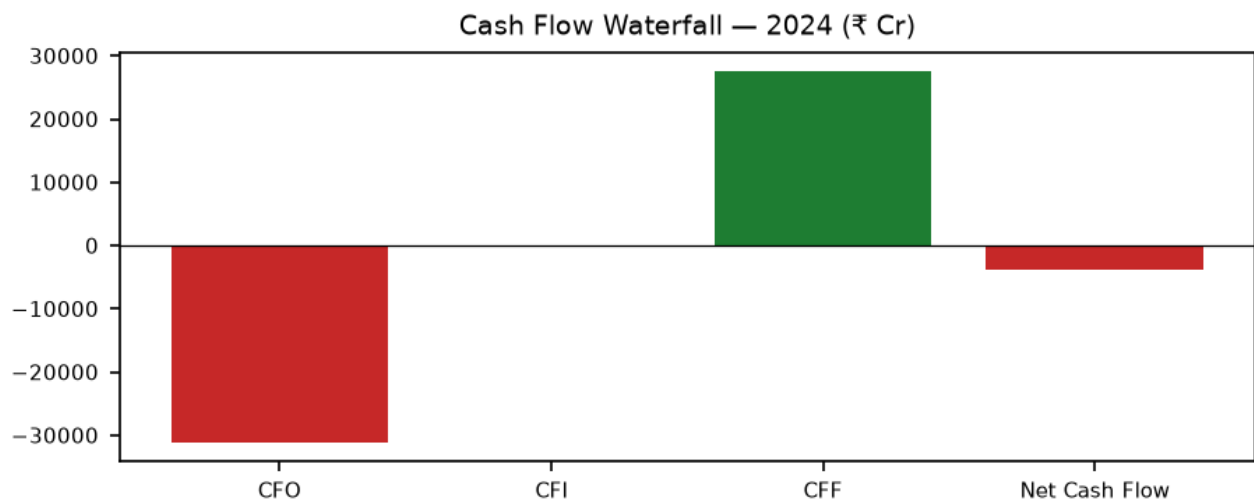
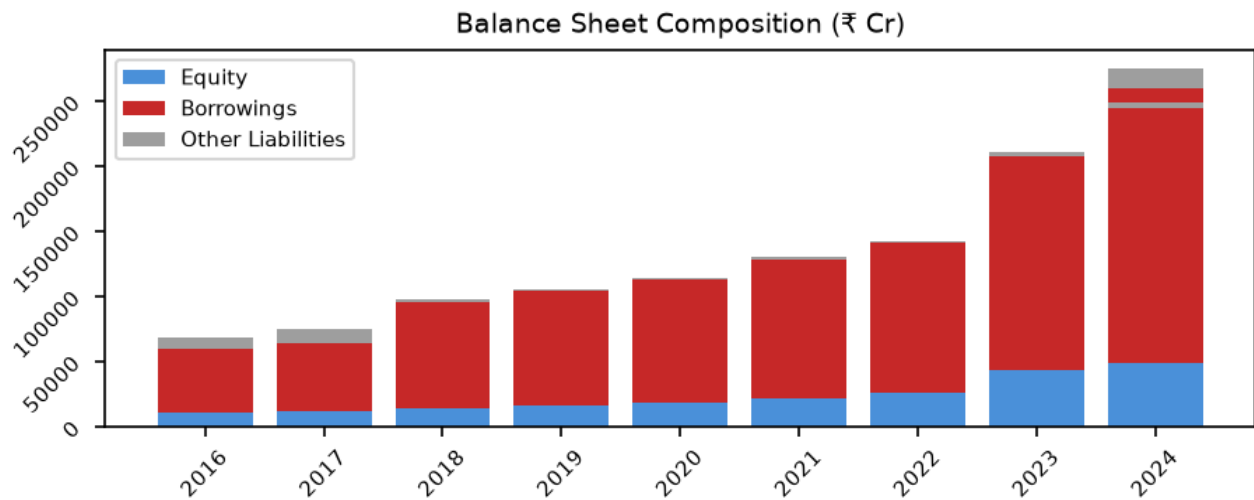
■ -31,359 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Distress